

ing a “value” of one-half to two-thirds in excess of the bond issue was considered almost enough to establish the safety of the loan. It turned out, however, that when such new ventures proved commercially unsuccessful and were unable to pay their interest charges, the “real estate” bondholders were in little better position than the holders of a mortgage on an unprofitable railroad or mill property.⁵

Values Based on Initial Rentals Misleading. Another weakness should be pointed out in connection with apartment-house financing. The rental income used in determining the appraised value was based on the rentals to be charged at the outset. But apartment-house tenants are accustomed to pay a substantial premium for space in a new building, and they consider a structure old, or at least no longer especially modern and desirable, after it has been standing a very few years. Consequently, under normal conditions the rentals received in the first years are substantially larger than those which can conservatively be expected throughout the life of the bond issue.

Lack of Financial Information. A defect related to those discussed above, but of a different character, was the almost universal failure to supply the bond buyer with operating and financial data after his purchase. This drawback applies generally to companies that sell bonds to the public but whose stock is privately held—an arrangement characteristic of real estate financing. As a result, not only were most bondholders unaware of the poor showing of the venture until default had actually taken place, but—more serious still—at that time they frequently found that large unpaid taxes had accrued against the property while the owners were “milking” it by drawing down all available cash.

Suggested Rules of Procedure. From this detailed analysis of the defects of real estate bond financing in the past decade, a number of specific rules of procedure may be developed to guide the investor in the future.

In the case of single-family dwellings, loans are generally made directly by the mortgage holder to the owner of the home, *i.e.*, without the intermediary of a real estate mortgage *bond* sold by a house of issue. But an extensive business has also been transacted by mortgage companies (*e.g.*, Lawyers Mortgage Company, Title Guarantee and Trust Company) in

⁵ See Appendix Note 20 for an example (Hudson Towers).